



2005 ANNUAL REPORT

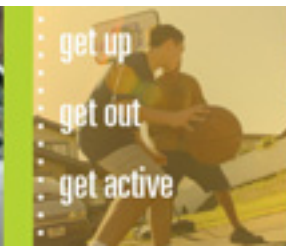


get up, get out, get active



An Independent Licensee of the Blue Cross
and Blue Shield Association

Working for a Healthier Hawaii



HMSA's **go** Campaign

In 2005, HMSA focused on helping our members and the communities we serve achieve and maintain optimal health through physical activity and healthy food choices.

This year's annual report includes the fun, active and colorful components of the campaign.

As you will see on these pages, for HMSA, our members, and the people of Hawaii, 2005 was the year to get up, get out and get active.





Aloha,

Since 1938, HMSA has been steadfastly committed to providing quality, affordable health plans to the people of Hawaii and responding to local health care needs. We continued that commitment in 2005, with much attention paid to the issue of obesity and related health and cost issues.

In 2005, the American Public Health Association reported that over 50 percent of adults in Hawaii are overweight or obese and that obesity among Hawaii's youth is twice the national average. According to a 2004 study published in the journal *Obesity Research*, treating medical conditions related to obesity is estimated to add \$290 million to the cost of health care in Hawaii each year.

The good news is that anyone can improve their health and well-being. And HMSA can help. In 2005, HMSA created and expanded several programs to help the community get the information, support and care they need to improve their health through increased activity and better nutrition.

Our largest and most far-reaching endeavor is HMSA's *go* Campaign, which encourages everyone to simply get up, get out and get active. Small but sustained increases in physical activity can positively impact a person's health. Building a healthy lifestyle is a long-term commitment and HMSA will continue to provide programs and services to help everyone make getting physical activity and proper nutrition an everyday habit.

At HMSA, we are honored to have the privilege of being the largest health care coverage provider in the state and welcome the responsibility that comes with it. This report outlines the responsive and innovative programs, community involvement, quality standards, and financial stability that allow HMSA to remain the health plan of choice for over half of Hawaii residents.

As we review our accomplishments of 2005, we pledge to continue to work with our satisfied customers and earn new ones, control expenses, and improve the health of our members and communities.



HMSA President and CEO Robert Hiam (top) and Chairman of the Board Roger Wall take time for a workout.

Roger J. Wall
Chairman of the Board

Robert P. Hiam
President and Chief Executive Officer



HMSA's *go* Campaign

go is HMSA's campaign to promote better health for our members, no matter what their age or fitness level. Our goal is to help members increase physical activity and improve eating habits to help avoid chronic diseases attributed to inactivity and excess weight, and the associated costs.

go FESTIVAL

On April 23, 2005, HMSA launched the *go* campaign with the HMSA *go* Festival at the University of Hawaii's Les Murakami Stadium. Before a crowd of more than 3,000, Honolulu Mayor Mufi Hannemann and HMSA President Bob Hiam kicked off the festival with a spirited taiko drumroll. On the main stage, local TV personality and master of ceremonies Kutmaster Spaz shared his story about how eating right and getting active contributed to his significant weight loss and improved health.



go Festival participants enjoyed fun, food and education.



The afternoon featured information on the health benefits of being active, healthy snacks, entertainment, and games and prizes to promote physical activity. Sixteen local teams, clubs and organizations held demonstrations and clinics for people to try new ways to be active and have fun. The event also introduced a Weight Watchers pilot program for HMSA members.

go MEDIA CAMPAIGN

Television

TV commercials throughout the *go* campaign reach the entire community. Young or old, indoors or out, at home or in the office – HMSA encourages and demonstrates the ways our members get active every day. These engaging ads use fresh and creative approaches to reach different audiences:

- Produced by students of Waianae High School's Searider Productions, the **My Body** series features kids at play. Aimed directly at children, this series focuses on the ways kids use their imagination and energy to make active playtime fun.
- From dancing to surfing, paddling to gardening, and washing the car to taking the stairs at work, HMSA members of all ages are seen enjoying a broad range of activities in **The Dance of Life** ads. Showing how easy and fun being active can be, this series was created to appeal to and motivate viewers.



HMSA's *go* Campaign

- **Start a Spark** ads show the power of positive peer pressure. Using real-life scenarios like looking forward to a lazy evening after a long workday or getting together with the guys, this series shows how one person's healthy behavior can influence and support healthy changes in others.
- A humorous series with double entendres, **gotcha** appeals to all demographics. By reminding their owners about the fun they used to have together, neglected and otherwise voiceless subjects, such as a dog, golf bag or running shoe, become characters that motivate their owners to get active again.
- The Kutmaster Spaz music video, **Live Healthy**, appeals to teens with a video game theme, catchy refrain, and tips for better health. Produced by Searider Productions, the video airs during popular youth and adult programs as a public service announcement.



"Frank" and his dog "Fifi" get up, get out and get active in an HMSA *gotcha* TV ad.

Radio

Along with radio spots that mirror the TV ads, the *go* campaign was featured on the Perry & Price morning show. HMSA also partnered with the American Heart Association, American Cancer Society, and the American Diabetes Association to create radio ads that supported the *go* campaign by emphasizing the need to eat right and be active.

Print

HMSA's *Island Scene* magazine supports the *go* campaign through feature articles on active members and interesting activity options, HMSA columns, and Under the Rainbow items. Also, *go* ads that complement the TV spots appear in *Island Scene*, the *Honolulu Star-Bulletin*, *MidWeek*, *Pacific Business News*, and local issues of *Newsweek*, *Time*, *Sports Illustrated*, and *U.S. News & World Report*.



HMSA's *go* print ads.





HMSA's *go* Programs



In 2005, HMSA created and was recognized for programs that support member action and awareness of the importance of physical activity, healthy eating and community involvement. In our programs and communities, the campaign encourages HMSA members – from keiki to kupuna – to get up, get out and get active.

FUN 5

Implemented at 72 of Hawaii's A+ after-school programs and a number of elementary schools statewide, Fun 5 is a comprehensive approach to physical activity and nutrition. Fun 5 encourages kids to get five days of physical activity every week and eat five servings of fruits and vegetables every day. The program offers a variety of noncompetitive physical activities so kids of all skill levels can have fun and be successful.

At last year's Prevention Summit meeting in Washington, D.C., Fun 5 received the 2005 Secretary's Innovation in Prevention Award from the U.S. Department of Health and Human Services. Fun 5 is an HMSA, Hawaii Department of Education, and University of Hawaii partnership.

SPAZ'S *go* CHALLENGE

In response to the increasing numbers of overweight and obese young people in Hawaii, HMSA's *go* Campaign includes helping Hawaii's youth avoid the dangers and costs related to excess weight and inactivity. The enthusiastic response Kutmaster Spaz received at the *go* Festival underscored his popularity and ability to make messages about healthy living meaningful to teens.

Spaz's *go* Challenge is a yearlong campaign to reach Hawaii teens through print, TV, online, and with rallies in schools and communities across Hawaii. The Spaz's *go* Challenge web site includes Spaz's blog account of his personal quest to get healthy, encourages teens to make their own promise for good health, and gives them a chance to win prizes. Spaz's *go* Challenge rallies include entertaining performances, games that test teens' health and nutrition knowledge, and information on how to eat right, be active and have fun doing it.

With five school and community rallies in 2005, over 3,500 teens participated in Spaz's *go* Challenge events. We look forward to visiting more schools and communities across the state in 2006.

HMSA KAIMANA AWARDS & SCHOLARSHIP PROGRAM

In 2005, HMSA initiated and launched one of the largest high school athletics sponsorships in Hawaii's history. In partnership with the Hawaii High School Athletic Association, the HMSA Kaimana Awards & Scholarship Program highlights the importance of athletics, academics, sportsmanship and community service.



Spaz and HMSA staff at Farrington High School.



HMSA's *go* Programs

Theresa Ellis, Student Activities Coordinator, Farrington High School



Student activities coordinator Theresa Ellis appreciates HMSA's efforts to encourage healthy lifestyles for teens.

The community our school is in has many health issues. I think our student's lack of physical activity and poor food choices reflect habits they are learning at home. I see many high school students eating chips and soda for lunch. I see the increase in inactive and overweight teens. Many of the healthy lifestyle messages in HMSA's *go* Campaign are also taught in a number of our classes, but Spaz's *go* Challenge is more powerful because of the way it's presented, and the use of technology and incentives to participate.

Kutmaster Spaz is a popular personality, so – unlike us teachers who often are looked at as par-

ents – teens listen to his words and don't tune him out. When Spaz's *go* Challenge came to our school, students liked the fact that we brought in someone locally famous to spread an important message. They enjoyed his style of delivery, catchy music video, and the games and prizes that were part of the event. Both the faculty and student body responded positively to the Spaz's *go* Challenge rally at our school. Some students have commented how they never knew what Spaz looked like, but now they actually pay attention to HMSA's *go* Campaign ads when they hear his name. Thank you for coming to our school!

HMSA KAIMANA AWARDS & SCHOLARSHIP PROGRAM

The program features three main components:

- The HMSA Kaimana Awards recognize Hawaii high schools whose student athletes excel both on and off the field. The program allows schools to earn points for sports championships, sportsmanship, athletic participation, student athlete grade point averages, and community service of the entire student body. Because categories are weighted almost equally, every high school in the state has a chance to claim the HMSA Kaimana Awards trophy for their division.
- The HMSA Kaimana Scholarships reward student athletes who are role models. Scholarships for students continuing their education are based on athletic and academic achievement, sportsmanship, and community involvement. The scholarships acknowl-



The HMSA Kaimana Award.



HMSA's *go* Programs

edge the value of all types of physical activity, and students participating in lower-profile sports are encouraged to apply. Twenty-one scholarships will be awarded for the 2005-2006 school year. Each scholarship is worth \$2,000, with an additional \$1,000 award for three recipients with exceptional qualities.

- The HMSA Kaimana Awards & Scholarship Program also helps to underwrite the cost of fees and materials for coaches' continuing education, certification, and accreditation in health- and safety-related subjects like CPR and first aid.

HMSA considers this commitment to our state's high school students and their families, schools and coaches an important investment in the long-term health and well-being of our next generation of adults.

WEIGHT WATCHERS PILOT PROGRAM



Last year, HMSA helped members learn how to change their eating habits by offering three-month Weight Watchers memberships at no cost. Weight Watchers helps people lose weight safely, sensibly and effectively through healthy eating, regular physical activity, behavior modification, and a supportive atmosphere.

HMSA measured the pilot program's success by reviewing participation rates, participant success, and the incentive of reduced Weight Watchers membership fees. Nearly 770 members participated in the program, losing a total of 6,000 pounds.

KEEP *going*



HMSA's Keep *going* workshops encourage Hawaii's seniors to get up, get out and get active.

Being active every day can help older adults improve their health and quality of life, and maintain their independence. In 2005, HMSA introduced Keep *going*, a hands-on workshop that offers tips and tools to help older adults increase their level of physical activity. Topics include basic fitness components, ways to be active every day, exercise demonstrations, and how to communicate

with your doctor. The program will expand to reach seniors statewide in 2006.





In 2005, 41 percent of HMSA members indicated they took specific action to improve their health based on information and/or programs provided by HMSA, according to a statewide survey. The following outlines some of the ways HMSA helps our members live full, active and healthy lives.

Health Education, Screening and Support Programs

Health Education

HEALTH EDUCATION WORKSHOPS

HMSA member benefits include health education classes and programs that help members make healthy lifestyle choices. These fun, informative and hands-on classes provide lifestyle information and learning through activities and discussions on how to use the information in everyday situations.

In 2005, more than 2,000 people took part in one of the following HMSA health education programs:

- **Body Power:** This three-week fitness program teaches the basics of fitness, including strength and flexibility exercises, aerobics, exercising safely, and staying on track.
- **Mission: Nutrition:** A program to help members understand why calories still count, how to calculate individual caloric needs, and how to apply the food pyramid guidelines.
- **Senior Odyssey:** A lifestyle management program for adults 50 years and better to learn about the changes associated with aging, tips on preventing falls, physical activity, nutrition, and other information for older adults.
- **Stress Master:** This five-week stress reduction program focuses on deep-breathing techniques to help members relieve stress symptoms and relax the mind.



HMSA NOW

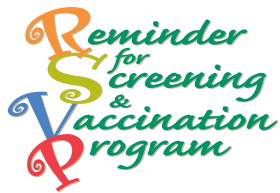
In 2005, HMSA launched the nation's first interactive, statewide health channel. HMSA members and the community at large can access important HMSA health information 24 hours a day from the comfort of their home on digital cable channel 344. HMSA Now offers viewers an extensive medical library video collection with hundreds of topics to choose from, nutrition and fitness videos, a section devoted to frequently asked HMSA questions, and a community health events calendar.

HMSA Now is a groundbreaking initiative that provides another way to connect with our members and improves community access to health information. And knowledgeable health care consumers can help manage





Health Education, Screening and Support Programs



health care costs associated with unhealthy lifestyles, failure to identify health problems, and inappropriate use of services.

Launched in July 2005, HMSA Now delivered over 50,000 video requests or approximately 300 videos per day in just its first six months on the air.

Health Screening

HEALTHPASS

HealthPass is an annual screening program that provides members with information on how to build a healthier life, based on their current lifestyle, health habits, and family medical history. The program has been providing comprehensive health promotion and disease prevention activities since 1990 and received the C. Everett Koop National Health Award for improving health and reducing medical costs in 2002.

Conveniently offered at HealthPass offices and 135 worksites across the state, HealthPass staff works with our members to develop a health action plan. Their personal plan includes recommendations for health changes, information on programs, and support to help meet their goals. In 2005, more than 28,400 HMSA members took advantage of their HealthPass benefit.



HealthPass screenings include blood pressure checks.

REMINDER FOR SCREENING & VACCINATION PROGRAM

Annual screening and vaccinations offer the best opportunity for the prevention, early detection and successful treatment of potentially serious illnesses. Through RSVP, members receive a birthday greeting and reminder to make an appointment with their physician for their overdue preventive care and screenings. In 2005, RSVP sent out 204,000 reminders to members.

Disease Management

CARE CONNECTION

HMSA's Care Connection gives our members the support they need to manage chronic medical conditions and avoid or reduce associated long-term problems. By working directly with members and their physicians, Care Connection staff helps members understand and cope with their condition, take their medication correctly, and follow the treatment plan recommended by their doctor.

HMSA's
Care Connection



In 2005, over 100,000 members received support for:

- Asthma and chronic obstructive pulmonary disease.
- Behavioral health challenges such as stress, anxiety, depression or substance abuse.
- Cardiac conditions.
- Chronic kidney disease.
- Diabetes.

Support Programs

THE GOOD PREGNANCY — HE HĀPAI PONO



He Hāpai Pono assists pregnant women and their OB care providers by providing information (including a complementary pregnancy or infant care book), support, and early identification of risk factors. Registered nurses are also available to provide information, answer questions, and listen to concerns throughout pregnancy and up to six weeks after childbirth. In 2005, He Hāpai Pono offered assistance to more than 7,600 expectant mothers.

READY, SET, QUIT!

This personalized program provides telephone counseling and information to help members quit smoking. Ready, Set, Quit! helps members through the difficult challenge of quitting smoking and staying smoke-free by providing as much support as they want and need. Support includes telephone counseling, help setting and preparing for their quit date, strategies to deal with cravings, and referrals to community resources. In 2005, Ready, Set, Quit! enrolled more than 300 members and over 30 percent of them have remained smoke-free for 12 months.





Community Connections

One of HMSA's founding principles is a commitment to function exclusively for the benefit of the community to promote social welfare. Through our partnerships and programs, the following describes some of HMSA's community involvement activities in 2005.



Kids enjoy the new Kuhio Park Terrace Playground.

KUHIO PARK TERRACE PLAYGROUND

Last year, HMSA employees were among 160 volunteers who helped build a 5,200 square-foot playground at Kuhio Park Terrace to give their 1,000 keiki a safe place to get up, get out and get active. HMSA was the first major sponsor to support this collaboration between the Kuhio Park Terrace and Kuhio Homes resident associations. Partner agencies included Good Beginnings Alliance, Parents and Children Together, Aloha United Way, Island Recreation, and other corporate sponsors.

TEEN VIDEO AWARDS CONTEST

This annual contest showcases the health awareness messages and video production talents of middle and high school students across the state. Students are invited to create public service announcements on health and fitness, or to help address the problems of drugs, underage drinking and smoking among Hawaii's youth. Working solo or in groups, the creators of the winning entries in each category have their PSAs broadcast on local television stations and win money for video production equipment for their school.



Winners at the 2005 TVA ceremony.



The 2005 Teen Video Awards Contest received 211 entries from 44 schools across the state, a 60 percent increase in entries from the year before. Over 600 students, teachers and family members attended the red-carpet screening and awards ceremony in Honolulu.

OLA PONO AWARDS: *Live Right . . . For a Safe and Drug-Free Hawaii*

Each year, the Coalition for a Drug-Free Hawaii, the Hawaii Department of Education, the Hawaii Department of the Attorney General, and Kamehameha Schools join HMSA to recognize and celebrate the important contributions of ordinary people who make an extraordinary difference in our community. Held during Drug-Free Hawaii Awareness Month in February, the Ola Pono Awards recognize those who make meaningful, substantial contributions to our community by promoting safe, healthy and drug-free lifestyles.

At the 2005 event, nine winners were honored at a special recognition luncheon and received a framed Ola Pono Award and a \$1,000 donation to a charitable organization of their choice.



Ola Pono Award winner Michael Ikeda and his award check for the Neighborhood Place of Kona.

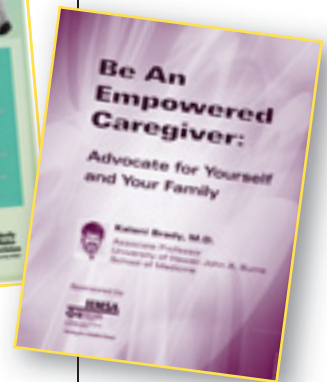


CARING FOR FAMILY, CARING FOR YOURSELF

In the last two decades, Hawaii's population of adults age 60 and older increased by 82 percent, and many of us are likely to care for family members as our population continues to age. In 2005, caregiver's conferences statewide offered family caregivers practical, up-to-date resources and skills to help them with their daily responsibilities. Classes included topics ranging from how to deal with dementia to medication management and tax information for caregivers. Co-sponsored by HMSA; Alu Like, Inc.; AARP Hawaii; and the Elderly Affairs Division, conferences were held on Kauai, the Big Island, Oahu, and Maui.



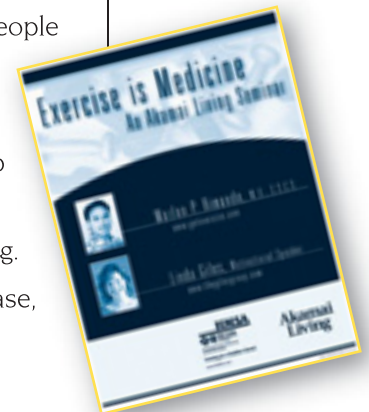
Community Connections



AKAMAI LIVING SEMINARS

Akamai Living supports members age 55 years and better to make smart choices that enhance their life by staying healthy and active at any age. In 2005, more than 2,100 people attended the following seminars:

- **Exercise is Medicine:** The health benefits of regular physical activity.
- **Managing Your Medications:** How safety, efficiency and communication can help you get the most out of your medications.
- **Music for Your Health:** The power of music for good health and overall well-being.
- **Senior Moment or Dementia?:** Forgetfulness, dementia and Alzheimer's disease, and their differences.



MAYOR'S SENIOR RECOGNITION PROGRAM

In 2005, HMSA continued its proud sponsorship of this program to applaud the community contributions of Hawaii's senior citizens. The Mayor's 39th Annual Senior Recognition Program included HMSA's Akamai Living Lifetime Achievement honors for nine seniors who share their time and experience as dedicated volunteers in our community.

CORPORATE GIVING

HMSA is committed to our mission to improve community health and well-being. We are proud of our tradition of community giving, and we support activities, programs and partnerships that promote good health for Hawaii's families and our community. In 2005, HMSA's corporate giving fund provided over \$300,000 in monetary contributions, sponsorships, donations, and in-kind services to 220 nonprofit and community-based organizations.



Seniors enjoy the entertainment at the 2005 Mayor's Senior Recognition Program.



Community Connections

Mike McFarlane — Island Recreation



Mike McFarlane stands in front of the Kuhio Park Terrace playground.

For many years, the children living at Kuhio Park Terrace and Kuhio Homes didn't have a safe place to play. After the original playground was torn down, the kids ended up playing in the elevators, drainage ditches, and out in the street. In 2003, members of the resident associations came together to identify common concerns and the best way to address them. The children's need for a safe, outdoor place to play was the most prominent issue.

It was amazing to see the dedication and enthusiasm for this grassroots effort grow among the residents and our community partners, including HMSA. We all understood the importance of active play for children's physical, emotional and social de-

velopment, and the importance of working together. This project was a great collaboration. From their financial support of the playground to their employees rolling up their sleeves to help build it, HMSA was a welcome and valuable partner.

Through their donations, programs and partnerships with other organizations who work to improve our communities, HMSA has shown their commitment to improving the health, well-being, and quality of life for all the people of Hawaii. For the families of Kuhio Park Terrace, HMSA's support helped create a designated play area with age-appropriate equipment, a safe surface, and space for all residents to share and enjoy.



HMSA's employees represent Hawaii's diversity and every Island community. Reaching beyond their regular job duties to give back to their communities, our employees share HMSA's commitment to improving community health and well-being. In 2005, our employees generously donated their time and dollars in activities that promoted health, wellness and safety across the state.

From the Heart of HMSA

A CIRCLE OF CARING

Promoting volunteer activities and community service, HMSA employees are encouraged to volunteer in the community and join our Circle of Caring program. Our employee volunteers are honored at Circle of Caring events where they receive gift certificates or charitable contributions in their name to thank them for their community commitment.



On build day for the Kuhio Park Terrace playground, the many HMSA hands made for light work.

GIVING BACK TO OUR COMMUNITY

HMSA employees made personal donations and participated in several fundraising events in a yearlong campaign that raised money for United Way agencies statewide. This money supports United Way's partner agencies, community initiatives, and the thousands of families and individuals who rely on their support. On Oahu, HMSA employees donated more than \$217,000.

As a Lifesaver Donor organization, HMSA employees generously support the Blood Bank of Hawaii statewide. The company also sponsored five blood drives at the HMSA Center in 2005, where employees donated a total of 337 pints of blood.

Statewide in 2005, almost 900 HMSA employees took part in five corporate walks that raised over \$70,000 for community organizations, including the American Heart Association, American Cancer Society, and the Alzheimer's Association Aloha Chapter. A friendly Thanksgiving competition resulted in teams of HMSA employees trying to outdo each other to support the Hawaii Foodbank. In just four weeks, HMSA staff on Oahu, Maui, Kauai and Hawaii collected 100 turkeys, 9,471 pounds of canned goods and other food items, and \$9,613 to help the Foodbank meet the needs of the 118,000 people they serve each week. And in response to our employees' thoughtful inquiries, HMSA established the Hurricane Katrina Relief Fund to help the American Red Cross serve those devastated by the hurricane. When combined with matching funds from HMSA, the donation totaled \$61,396.



HMSA employees cheer on the activities at the Boys & Girls Club Sports Day event at Ko Olina Resort's lagoons.



HMSA Foundation

The HMSA Foundation extends HMSA's commitment to provide community access to cost-effective health care services; promote health, health education and relevant research; and improve social welfare. Established in 1986, the HMSA Foundation, an HMSA affiliate, demonstrates its dedication to improving health in Hawaii through its grants, strategic initiatives, publications, and community-wide programs.

FOUNDATION ACTIVITIES

The HMSA Foundation supports projects with the potential to reach their goals, produce meaningful results, and benefit our community today and well into the future. In 2005, the HMSA Foundation committed over \$1.3 million dollars to 40 organizations, including a \$20,000 grant for Aloha Medical Mission to purchase medications and vaccines for its tsunami relief efforts in Indonesia. The following are examples of organizations supported in four key areas:

HMSA Foundation

- **Access to Health Care:** The Waikiki Health Center received a \$72,000 grant to address the increased demand for mental health services and to help meet the needs of the uninsured and underserved members of the community.

- **General Social Welfare:** With an emphasis on the state's low-income, high-risk population, a grant of \$50,000 was awarded to the Bishop Museum for "Sesame Street Presents: The Body." This fun, interactive exhibit taught children ages 2 to 8 about the human body, the senses, exercise, hygiene, and safety. Admission discounts were given to children under federal Title I income guidelines.



Client counseling is one of the many services offered at the Waikiki Health Center.

- **Health Care Delivery Systems:** A \$54,000 grant to University Clinical, Education & Research Associates helped initiate a clinical and education program at the University of Hawaii's John A. Burns School of Medicine. In collaboration with the Hawaii Neighborhood Outreach for the Aged program at Palolo Chinese Home, the program allows geriatricians to make house calls with trainees. The goals of this program are to provide medical students with practical experience while filling a rapidly growing need for services for the elderly.
- **Health Promotion and Disease Prevention:** The Kapiolani Health Foundation received \$29,000 in support of a pilot project to create and disseminate nutritional education tool-kits for physicians to use with parents of children ages 1 to 5 who are at risk for obesity.



Over half of Hawaii's population has made HMSA their choice for health care coverage. By working to maintain and improve our plan options, customer service and claims processing, we continue to deliver the quality services you deserve and have come to expect.

**Committed to You,
Our Members**

THE RIGHT HEALTH PLAN CHOICE FOR YOU

To accommodate the range of circumstances, financial resources, and health care needs of our members, HMSA offers a wide variety of plans. Last year, HMSA health plans provided access to quality care, service and support for 700,493 people. The greatest number of HMSA members comes from our employer groups. In 2005, 16,440 employer groups provided coverage for over 551,300 members. More than 412,200 employees were in one of HMSA's free choice plans and over 139,000 were in HMO plans.

In 2005, more than 58,600 members were covered by an HMSA plan for people who are not eligible for coverage through employer group plans. Last year, HMSA individual plans provided coverage for more than 38,800 senior citizens, 4,400 students, 970 children, and 14,400 self-employed members.

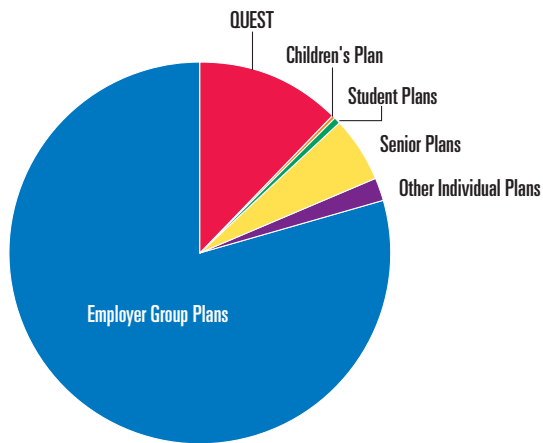




Committed to You, Our Members

In our 11th year of participating in the statewide Hawaii QUEST program, a managed care program for Medicaid beneficiaries, 90,437 HMSA members were covered under the HMSA QUEST medical plan.

Membership By Plan, 2005



Most of our members also receive supplemental benefits through HMSA health plan riders. In 2005, more than 626,000 members were enrolled in a prescription drug rider, 423,200 in a vision rider, 88,800 in a chiropractic rider, and 9,300 in a complementary care rider for alternative health services. In addition, more than 154,300 members received dental coverage through our preferred provider dental plan and HMO dental network.

HMSA also contracts with self-insured employer groups to process claims. Through these arrangements, HMSA paid more than 604,000 claims in 2005, totaling nearly \$59 million in benefits for 29,000 people.

PROUD TO SERVE YOU

HMSA Customer Service representatives on all islands are trained to provide timely, accurate service and share our commitment to excellence. Our representatives can help you understand your benefits and coverage in the way that best suits you.

In 2005, HMSA's Customer Service representatives responded to more than 6,000 walk-in visits, 7,000 written inquiries, and more than 1.1 million phone calls from our members.

With our large membership and variety of plan options, HMSA relies on skilled staff and current technologies to accurately, efficiently and promptly process claims. Every working day last year, HMSA's claims system handled over 70,038 claims, for a total of 17.6 million member claims processed in 2005.

OUR QUALITY COVERAGE STAYS WITH YOU

HMSA belongs to the Blue Cross and Blue Shield network of health care providers in the U.S., Puerto Rico, and U.S. Virgin Islands. HMSA is the only health plan in Hawaii that offers nationwide provider networks for both preferred provider and HMO programs. That means you have access to the same kind of quality, affordable health care you expect at home, whenever and wherever you need it.

All HMSA plans cover emergency care services, and our Guest Membership program covers HMO plan members temporarily living on the Mainland. With more than 250,200 primary care physicians, 651,800 specialists, and 6,000 hospitals nationwide, HMSA members can rely on the BlueCard program for access to nation's largest network of providers for care outside Hawaii. In 2005, the BlueCard program saved our members more than \$55.3 million in out-of-pocket expenses.



**Committed to You,
Our Members**

Dwight Toyama — Executive Director, Oahu Interscholastic Association



Dwight Toyama in the OIA offices.

Academics, athletics, sportsmanship and community involvement are all important characteristics that young people can gain through their high school experience. The HMSA Kaimana Awards & Scholarship Program rewards Hawaii schools and students who demonstrate these qualities.

Early on, HMSA and the Hawaii High School Athletic Association sought input from each of the leagues to develop a fair and collaborative program supported by every high school in the state. The result is an outstanding service and opportunity for schools to maintain the Hawaii Department of Education's vision of students reaching their goals, meeting their potential, and contributing to their community.

For Hawaii high schools, the HMSA Kaimana Awards help build school pride and healthy competition within each division. The program also recognizes

the importance of quality athletic training by helping to underwrite the cost of coaches' health and safety education, certification, and accreditation.

Reinforcing the value of being involved in any kind of athletic activity, the HMSA Kaimana Scholarships reward student athletes who are continuing their education, based on their athletic and academic achievements, sportsmanship, and level of community service.

The HMSA Kaimana Awards & Scholarship Program promotes, recognizes and rewards healthy lifestyles and behaviors for Hawaii's youth. I admire HMSA's commitment to our young people's futures and respect how they've put it into action.

By supporting the values and characteristics developed in high school, the HMSA Kaimana Awards & Scholarship Program is a well-rounded program to help develop well-rounded citizens.



Provider Partnerships

We rely on physicians, hospitals, and other health care providers for quality health care, and HMSA is proud of our cooperative and committed partnerships with Hawaii's medical professionals. These partnerships also help enhance the health of our members through the development of quality-improvement initiatives, participating on provider advisory committees, and other activities.

OUR PARTICIPATING PROVIDER NETWORK

All of HMSA's participating providers have completed our credentialing process, meet specific criteria for providing quality care, file patient's claims, and agree to accept our member's copayment and HMSA's reimbursement as payment in full. With over 4,100 participating physicians, dentists, hospitals, pharmacies, and other health care providers in Hawaii, HMSA members have access to the largest network of health care providers and HMO health centers in the state.



PHYSICIAN SEMINARS

Last year, HMSA physician seminars helped our providers stay up to date on emerging health issues. Physicians and other health professionals from across the state were invited to attend seminars on Oahu, Maui, and the Big Island.

In joint sponsorship with The Queen's Medical Center and in accordance with the standards and policies of the Accreditation Council for Continuing Medical Education, HMSA held the following physician seminars in 2005:

- **Community Physician Medical Management Summit: Problem Solving Issues** covered effective problem-solving skills to improve health care delivery.
- **Depression and Co-existing Medical Illnesses** provided an overview of the issue and recent findings related to depression and medical illnesses.
- **Evidence-Based Medicine: A Hands-on Workshop for Clinicians & Policy Makers** introduced skills to evaluate and use the evidence bearing on tests and treatments.
- **Increasing the Primary Care Physician's Awareness of Chronic Kidney Disease** focused on Hawaii's high rate of kidney failure and ways to improve patient outcomes.
- **Meaningful Behavior Change: Helping Patients Better Manage Their Illnesses** taught methods for assisting patients through motivational interviewing skills.
- **Pain Management for the Primary Care Physician** covered methods to assess, diagnose and treat pain, and identify addiction, tolerance and dependence.
- **Supplement and Herb Interaction With Medications: A Primer for the Clinician** offered information on the safety, use and possible interactions of dietary supplements.





REWARDING QUALITY CARE

HMSA's performance-based programs have established standards of excellence and incentives for high-quality, service-oriented, and cost-effective care for our members. The Practitioner Quality and Service Recognition (PQSR) and Hospital Quality and Service Recognition (HQSR) programs are based on best practice guidelines and performance standards for health care professionals and facilities.

Physicians and hospitals that provide effective, efficient and quality care and services are recognized for their efforts. Service is measured according to best practice guidelines, patient surveys on services received, and other medical performance standards. In 2005, more than 2,400 physicians and 17 hospitals participated in these voluntary programs.

WORKING TOGETHER

Last year, more than 225 health care professionals volunteered their time and expertise to help ensure HMSA members can count on affordable access to quality care. Through their service on HMSA's Board of Directors and provider advisory committees, these providers assist in reviewing and formulating policies related to health plan benefits, medical policy, and pharmacy guidelines, and discuss issues related to quality improvement, health promotion and prevention, and disease management. HMSA values the knowledgeable leadership these professionals provide, including the nine board members who represent Hawaii's health care providers and the 29 physicians employed by HMSA as medical directors or consultants.

HMSA strives to maintain our reputation for providing quality health care, service and value. In 2005, we expanded our newest health plan to offer additional savings and continued to receive high quality and satisfaction ratings.

A NEW HEALTH PLAN OPTION

Last year, HMSA added CompMED B to our comprehensive major medical health plans that provide group coverage. CompMED B added a \$300 deductible for even greater savings to employers. In 2005, CompMED enrollment more than tripled.

NATIONAL ACCREDITATION

HMSA's commitment to quality health care in Hawaii includes a voluntary and thorough evaluation by the National Committee for Quality Assurance (NCQA). NCQA's accreditation standards are set high to encourage health plans to continually enhance their quality. The NCQA reviews a broad range of performance measures related to patient satisfaction, access to care, physician credentialing, disease management programs, and preventive health screening rates. HMSA plans consistently earn exceptional ratings.



Provider Partnerships

Corporate Highlights



Corporate Highlights

With the highest level of NCQA accreditation for HMO plans, HMSA's Health Plan Hawaii currently holds Excellent Accreditation. "Excellent" is granted for service and clinical qualities that meet or exceed NCQA's rigorous requirements for consumer protection and quality improvement.

"Full" is the highest level of accreditation for PPO plans that meet strict NCQA standards for continuous quality improvement. The following HMSA plans have earned Full Accreditation from NCQA:

- Preferred Provider Plan
- CompMED
- Federal Employee Health Benefit Program
- State of Hawaii Employer Union Trust Fund Plan
- 65C Plus

NCQA is an independent, not-for-profit organization dedicated to assessing and reporting on the quality of health care in the United States. NCQA's accreditation status is widely regarded as an evaluator of quality, accrediting about half of the HMOs in the United States.

HIGH MEMBER SATISFACTION

Since 1998, HMSA's annual Membership Satisfaction Survey, the state's largest survey of health care consumers, has served as a reliable measure of the quality of health care and health care coverage in Hawaii. Last year's survey again indicated that HMSA members are happy with the service they receive from HMSA and their HMSA participating physicians.

Of those surveyed in 2005, 96 percent said that if they had to choose a health plan again, they would select their current HMSA plan. Respondents also gave high marks for access to care, physician skills, medical services, and care outcomes. Over 93 percent said they would recommend their physician to family and friends.

To help ensure that we are fulfilling our commitment to quality, HMSA pays close attention to feedback from members, employer groups, providers, lawmakers and community leaders. Annual member surveys also help us assess subjective assessments, such as service, bedside manner, empathy and courtesy, to ensure members are satisfied with their physicians, hospitals and our services.



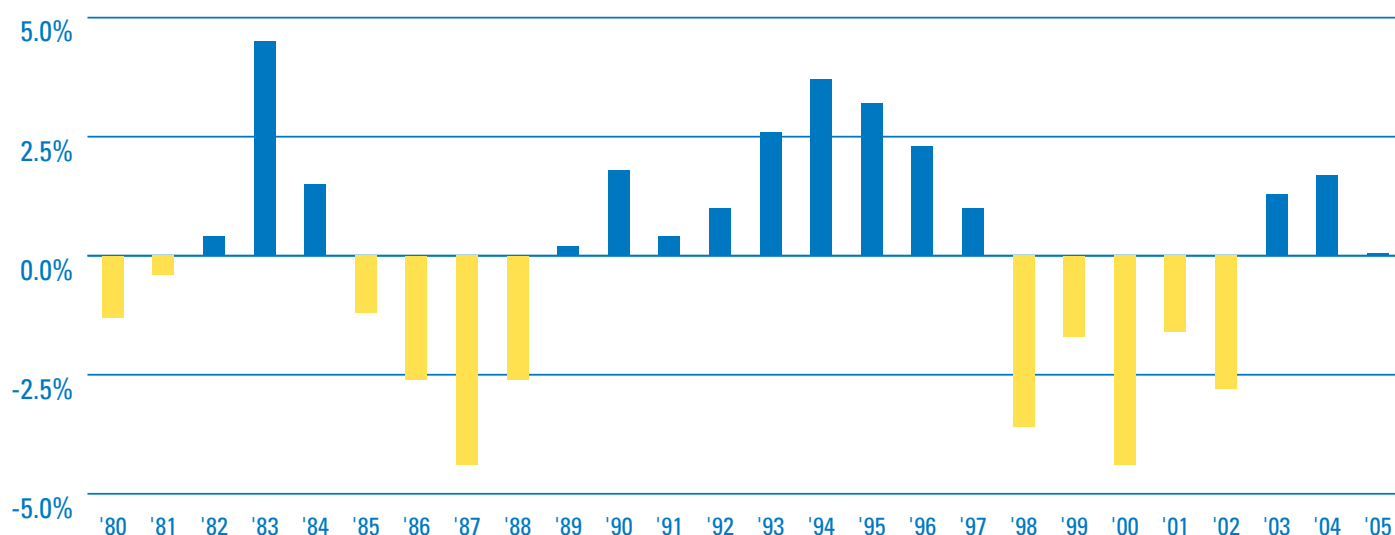
HMSA is proud of our record of providing reliable, stable and quality service. Efficient operations and our strong financial base offer a secure future for our members' health care needs.

Operational and Financial Strength

HMSA OPERATIONS

Since our beginning in 1938, HMSA has operated as a nonprofit, community service association. We believe this financial structure best serves our members. Our goal as a nonprofit is to operate at a break-even level while providing our members with a high level of health care benefits. Throughout our long history, an average of 93 cents of every dollar paid to HMSA has gone directly to physicians, hospitals, pharmacists and other providers to pay for our members' care. Only an average of 7 cents goes to run your association. This is one of the highest benefit returns of any health plan in the country.

HMSA Operating Gains and Losses, 1980-2005
(Percent of Revenue)

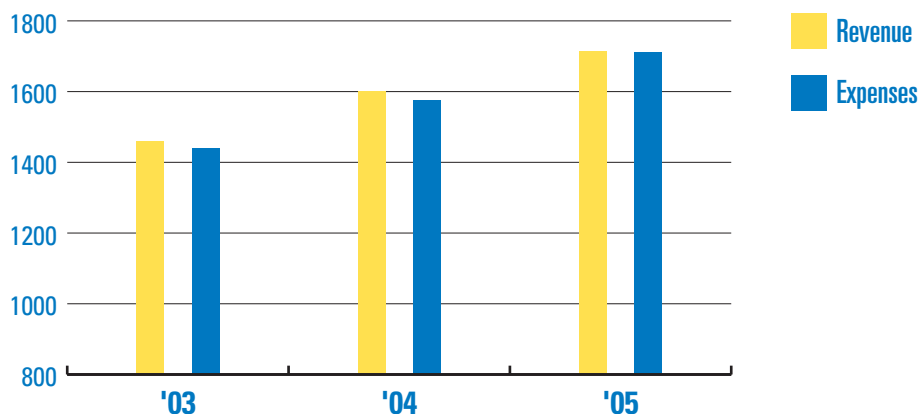




Operational and Financial Strength

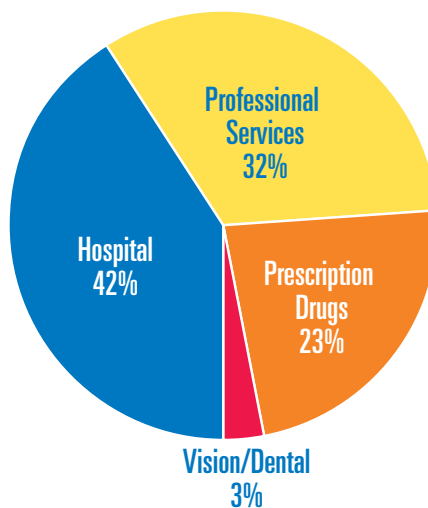
Annual operating gains and losses should be viewed in the context of HMSA's long and stable financial history. This history of good years and bad years is described by insurance actuaries as the underwriting cycle.

Revenue and Expenses, 2003-2005
(In millions)



In 2005, HMSA applied 91.5 percent of dues to member benefits such as payments for physicians, hospitals and prescription drugs; 8.2 percent covered our operating expenses; and 0.3 percent was the net operating gain applied to reserves.

Benefit Distribution, 2005



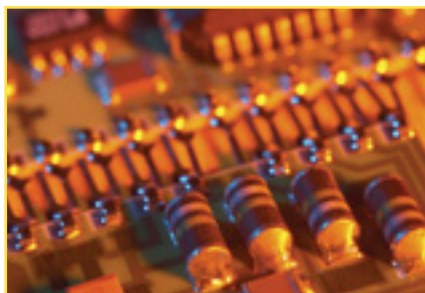


Operational and Financial Strength

Through our regular business and QUEST operations, \$1.5 billion in benefits were paid, equaling \$6.1 million each working day. Of the total benefits paid, hospital costs accounted for 42 percent, 32 percent went to professional services, 23 percent covered outpatient prescription drug costs, and 3 percent for vision and dental costs.

INVESTMENTS IN TECHNOLOGY

Last year, 87 percent of HMSA claims were filed and processed electronically. This is just one example of how technology helps HMSA, our members, participating physicians and employer groups keep pace with advancements and changes related to health care.



In 2005, HMSA began a major technology upgrade to improve claims processing and information management, and to prepare for future business needs. Funded entirely by our reserves, an estimated \$40 million in system improvements will be implemented over the next three to four years.

FINANCIAL STABILITY

Security

For over 68 years, HMSA has lived up to its responsibility to protect our members with sufficient financial resources to face sudden or unexpected health and economic challenges.

Hawaii is vulnerable to potentially deadly acts of nature. With Hurricane Katrina and the devastating tsunami in South Asia as stark reminders, Hawaii cannot escape the likelihood of similar disasters and subsequent costs occurring here.

As the gateway to the Asia-Pacific region and a popular destination for travelers from around the world, Hawaii residents may also be exposed to new and drug-resistant viruses or illnesses with no effective treatment.

In addition, HMSA must also be prepared to function when faced with operational losses due to unpredictable business volatility, market fluctuations, and trends in medical inflation.

Health plan reserves create a financial safety net that protects members' access to services, employer group coverage, and provider reimbursements. Because our reserve levels meet requirements set by the Blue Cross and Blue Shield Association and national and state regulatory bodies, HMSA members may take comfort in knowing that their health plan has the resources to honor its commitments.





Operational and Financial Strength

Financial Credit Rating

Every year, HMSA follows appropriate regulatory standards and seeks an independent third-party review by Standard & Poor's (S&P). Based on credit and financial strength, S&P rated HMSA A+ in 2005. This rating reflects HMSA's stability, assets, liquidity, and leading market position.

Financial Statements

HMSA is a mutual benefit society licensed by the Blue Cross and Blue Shield Association to offer a selection of health care products and services under the Blue Cross and Blue Shield brand names. HMSA is governed by a board of directors and is solely responsible for its own debts and obligations.

A complete audited financial report for HMSA and its subsidiaries is available upon request.

2005 Financial Statements



What HMSA Owns

Cash and short-term investments		\$55,756
Investments		
Bonds, at amortized cost	\$266,340	
Mutual funds	356,727	
Marketable securities	731	
Real estate	43,597	
Investment in subsidiaries	31,253	
Other	8,218	
Total investments		706,866
Receivables		92,658
Electronic data processing equipment, net		13,034
Other		15,939
Total assets		<u>\$884,253</u>

What HMSA Owes

Estimated member claims outstanding	\$141,708
Membership dues collected in advance	23,686
General expenses accrued	44,045
Provision for experience rating	74,027
Premium deficiency reserve	5,500
Deferred taxes	8,351
Other liabilities	30,951
Total liabilities	<u>328,268</u>

Resources Available for the Protection of Members

Total resources available for the protection of members	<u>555,985</u>
Total liabilities and resources	<u>\$884,253</u>

Member dues	<u>\$1,716,312</u>	<u>100.0%</u>
Member benefits	\$1,569,615	91.5
Operating expenses	<u>141,584</u>	<u>8.2</u>
Total expenses	<u>1,711,199</u>	<u>99.7</u>
Net operating gain	5,113	0.3
Net realized investment and other income	<u>30,620</u>	<u>1.8</u>
Income before taxes	35,733	2.1
Income tax expense	<u>10,277</u>	<u>0.6</u>
Net income	<u>\$25,456</u>	<u>1.5%</u>

Condensed 2005 HMSA Balance Sheet

Statutory Basis
(In thousands)

Condensed 2005 Statement of Operations

Statutory Basis
(In thousands)



Executive Staff

EXECUTIVE STAFF

Robert P. Hiam

President & Chief Executive Officer

Michael A. Gold

Executive Vice President, Chief Operating Officer & Assistant Treasurer

Gwen S. Miyasato

Executive Vice President & Assistant Secretary

Steve Van Ribbink

Executive Vice President, Chief Financial Officer & Treasurer

Michael J. Cheng

Senior Vice President

Richard S. Chung, M.D.

Senior Vice President

Cliff K. Cisco

Senior Vice President

Alfred J. Fortin, Ph.D.

Senior Vice President

Georgiana Y. Fujita

Senior Vice President

Gordon R. Hilton

Senior Vice President & Chief Information Officer

Linda J. Katagiri

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John T. Berthiaume, M.D.

Vice President & Medical Director
Care Management

Francie E. Boland

Vice President
Legal Services

Stacy K. Evensen

Vice President
Government Affairs

John L. Jacobs

Vice President
Marketing

William J. Osheroff, M.D.

Vice President & Medical Director
Medical Management

Mike K. Sayama, Ph.D.

Vice President
Customer Relations

Michael B. Stollar

Vice President
Corporate Communications

James P. Walsh Jr.

Vice President
Provider Services

Michael W.C. Wong

Vice President
Human Resources

David J.W. Chang

Assistant Vice President
Business Intelligence & Integration Services

Edmund T. China

Assistant Vice President
Membership Service

Carolyn J. Gire

Assistant Vice President
Medical Management

Wallace T. Hirai

Assistant Vice President
Administrative Services

Amy L. Jampel

Assistant Vice President
Internal Audit

Gina L. Marting

Assistant Vice President
HMO & Government Reporting & Facility
Reimbursement

Wendell T. Oda

Assistant Vice President
Underwriting

Myra L. Williams

Assistant Vice President
Care Management

Norman S. Matthews Jr.

Compliance & Ethics Officer

Gerald K.W. Wong

Controller



Board of Directors

OFFICERS

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Vice Chairman & Chief Administrative Officer
Foodland Super Market, Ltd.

Vice Chairman

Allan R. Landon

Chairman of the Board & Chief Executive Officer
Bank of Hawaii

Secretary

Edwin M. Montell, M.D.

Hawaii physician

Treasurer

Steve Van Ribbink

Executive Vice President,
Chief Financial Officer & Treasurer
Hawaii Medical Service Association

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City Mill Company, Ltd.

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Kamehameha Schools

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Territorial Savings Bank

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Kauai physician

Creighton W. Goldsmith

Chief Inspector
U.S. Customs and Border Protection

Rochelle Lee Gregson

Chief Executive Officer
Honolulu Board of REALTORS

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Hawaii Medical Service Association

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Vice President & Director
Alston Hunt Floyd & Ing

Gary K. Kajiware

President & Chief Executive Officer
Kuakini Health System

Howard H. Karr

Retired
Former Vice Chairman
First Hawaiian Bank

Whitney M.L. Limm, M.D.

Oahu physician

Della M. Lin, M.D.

Oahu physician

Allan Los Banos

Program Specialist/Safety Coordinator
Masons' Training Office, Local 1 and Local 630

Beverly C. Nagy

Retired
Former Senior Vice President
Theo H. Davies & Co., Ltd.

Carla J. Nip-Sakamoto, M.D.

Oahu physician

Michael R. Savona, M.D.

Maui physician

Michael H.T. Sia, M.D.

Oahu physician

Ronald I. Taketa

Financial Secretary & Business Representative
Hawaii Carpenters Union, Local 745

Luke Y. Teruya, D.D.S.

Oahu dentist

Reverend Monsignor Terrence A.M. Watanabe

Pastor
Holy Family/Saint Philomena Parish

Robert W. Wo

President
C.S. Wo & Sons, Ltd.

get up, get out, get active



The Hawaii Medical Service Association is a nonprofit, mutual benefit association founded in 1938. It is the most experienced provider of health care coverage in the state. HMSA is a member of the Blue Cross and Blue Shield Association, an association of independent Blue Cross and Blue Shield plans.

HMSA is dedicated to providing quality, affordable health plans, employee benefit services, and worksite wellness programs. We are also committed to improving the health and well-being of our members and all the people of Hawaii through a variety of health promotion and education programs and other community services.



An Independent Licensee of the Blue Cross and Blue Shield Association

Working for a Healthier Hawaii

